Why do things go wrong? Because the people lack incentives to know about public policy.

The romantic notion of democracy involves listening to the people, but the people generally do not know much about policy. Democracy is supposed to be the rule of the people, by the people, for the people. It is easy to carry this too far, by asking the people about policy decisions. We could just put things to vote.

Incentives of voters

There is a simple economics problem about individuals and policy: the average person does not have the incentive to invest in learning about policy problems. Individuals are very interested in the knowledge that matters to them directly—e.g., a person learns about motorcycles before buying one. But the learning that is done prior to voting is limited. Individuals will not take the trouble to understand GST or Public Debt Management Agency (PDMA). This is because people respond to incentives: The improvement to the life of an average person, from devoting 10 hours to learning GST, is roughly zero. Hence, individuals will not learn about policy questions.

Consider a range of economic issues: Why do nations become wealthy; the benefits or drawbacks of markets and international trade; the role of financial markets; the effects of regulation; the origins of inequality; the benefits of soft borders and immigration. Generally there is a large disconnect between professional economists and folk beliefs on these questions. Until Donald Trump educated the world on the lack of usefulness of a wall on the border, most people in India may have supported an impermeable wall on the India–Bangladesh border. If the average person would devote time and effort to study these issues, insights will surely arise, but the problem lies in the fact that there is no incentive to obtain this knowledge.